

VENDOR SERVICES AGREEMENT

Document Type: Synthetic Training Contract

Version: 1.0

Effective Date: 1 September 2026

Purpose: This fictional agreement is created for testing an AI compliance and contract-risk analysis system.

1. Parties

This Vendor Services Agreement (the "Agreement") is between Example Financial Services Ltd. ("Company") and Northstar Data Solutions Pvt. Ltd. ("Vendor"). The parties agree that Vendor will provide data-processing, analytics, technical-support, and related services described in applicable Statements of Work.

2. Services

Vendor shall provide data processing, reporting, application support, analytics, and technical maintenance services. Vendor may use subcontractors to perform any portion of the Services without obtaining prior written approval from the Company.

3. Fees and Payment

The Company shall pay Vendor the fees stated in each Statement of Work. Vendor may revise its fees upon thirty (30) days' notice. Undisputed invoices are payable within thirty (30) days of receipt.

4. Confidentiality

Each party shall use reasonable efforts to protect confidential information received from the other party. Confidential information may be disclosed to employees, affiliates, consultants, and subcontractors who have a business need to know. The confidentiality obligations in this Section shall continue for one (1) year after termination of this Agreement.

5. Data Protection and Privacy

Vendor may collect, store, process, copy, and transfer Company Data as reasonably necessary to provide the Services. Vendor may process personal data in any country in which Vendor or its subcontractors operate. Vendor will notify the Company of a confirmed personal-data security incident within thirty (30) days after becoming aware of the incident.

6. Information Security

Vendor shall maintain commercially reasonable administrative, technical, and physical safeguards. Vendor shall perform security assessments periodically, but this Agreement does not require a specific security certification, penetration-testing frequency, encryption standard, vulnerability-remediation period, or minimum access-control standard.

7. Audit Rights

The Company may request information concerning Vendor's compliance with this Agreement. Vendor may determine the format, timing, and scope of any compliance information it provides. On-site audits are permitted only where Vendor separately agrees in writing.

8. Regulatory Compliance

Each party shall comply with laws generally applicable to its own business. Vendor shall not be responsible for identifying regulatory requirements that may apply specifically to the Company's regulated financial activities. Vendor will cooperate with reasonable Company requests relating to regulatory inquiries.

9. Records and Retention

Vendor may retain operational records and copies of Company Data for as long as Vendor considers necessary for business, legal, backup, or archival purposes. No specific deletion period is established after termination.

10. Business Continuity and Disaster Recovery

Vendor will maintain a business continuity program appropriate to the Services. The parties do not establish mandatory recovery time objectives, recovery point objectives, disaster-recovery testing frequency, or specific notification timelines for material service disruptions.

11. Intellectual Property

Each party retains ownership of intellectual property it owned before the Effective Date. Unless otherwise agreed in a Statement of Work, Vendor retains ownership of its tools, templates, models, methodologies, and improvements developed while performing the Services. The Company receives a non-exclusive license to use deliverables for its internal business purposes.

12. Liability

Except for fraud or wilful misconduct, neither party shall be liable for indirect, incidental, special, or consequential damages. Vendor's aggregate liability under this Agreement shall not exceed the fees paid by the Company to Vendor during the three (3) months preceding the event giving rise to the claim.

13. Term and Termination

This Agreement begins on the Effective Date and continues for three (3) years. It automatically renews for successive one-year periods unless either party gives sixty (60) days' notice. Either party may terminate for material breach if the breach is not cured within ninety (90) days after written notice. The Company may terminate for convenience upon thirty (30) days' notice.

14. Subcontractors

Vendor may appoint or replace subcontractors at its discretion. Vendor remains responsible for the performance of its subcontractors. The Company will be deemed to have accepted any subcontractor unless it objects within fifteen (15) days after receiving notice.

15. Governing Law

This Agreement shall be governed by the laws of the jurisdiction in which the Vendor's principal office is located, without regard to conflict-of-law principles.

Synthetic Risk Testing Notes

The following issues are intentionally embedded in the fictional agreement so that the Enterprise AI Compliance & Contract Risk Agent can detect them. These notes are **not** part of the contract and should be treated as an evaluation reference.

ID	Area	Intentional Risk
R1	Subcontracting	Vendor can use subcontractors without prior approval; weak oversight/change-control language.
R2	Privacy	International data transfers are broadly permitted without defined transfer safeguards.
R3	Incident Response	30-day security-incident notification period is intentionally long.
R4	Security	No concrete encryption, MFA/access-control, penetration testing, or remediation requirements.
R5	Audit	On-site audit rights depend on separate Vendor approval.
R6	Regulatory	Vendor disclaims responsibility for identifying requirements related to the Company's regulated activities.
R7	Retention	No defined data deletion/return deadline after termination.
R8	BC/DR	No mandatory RTO/RPO, testing frequency, or disruption notification deadline.
R9	Liability	Liability cap is limited to three months of fees and may be inadequate for data/security risks.
R10	Termination	Material-breach cure period is 90 days, potentially too long for serious compliance issues.
R11	Confidentiality	Confidentiality survives only one year, which may be insufficient for sensitive information.
R12	IP	Vendor retains broad ownership of tools/models/improvements; deliverable ownership is not fully defined.

Important: This document contains fictional organizations, clauses, and risk notes. Do not treat it as legal advice or as a real commercial contract.